

high rate of interest on what you still owe, and the debt will grow. With all forms of borrowing, it's important to budget for regular repayments to keep from getting yourself deeper and deeper into debt.

**EVERY TIME YOU
BORROW MONEY,
YOU'RE ROBBING
YOUR FUTURE SELF.**

NATHAN W. MORRIS, US AUTHOR



CREDIT RATING

Before lending money, banks check that the borrower is able to make the repayments. Normally, they will ask a company, known as a credit rating agency, to assess the borrower's financial history. This credit rating is based on the income and the property of the borrower, but also on their credit history—how well they have paid their debts in the past.



According to the US Federal Reserve, the average American household in 2015 owed \$7,281 in credit card debt.